

Agenda Item 2–A.2 (Clean)

UPDATED EXTRACT OF THE EXPOSURE DRAFT OF PROPOSED INTERNATIONAL STANDARD ON QUALITY MANAGEMENT 1 (PREVIOUSLY INTERNATIONAL STANDARD ON QUALITY CONTROL 1) – QUALITY MANAGEMENT FOR FIRMS THAT PERFORM AUDITS OR REVIEWS OF FINANCIAL STATEMENTS, OR OTHER ASSURANCE OR RELATED SERVICES ENGAGEMENTS

(MARKED FROM AGENDA ITEM 2–A POSTED FOR DECEMBER MEETING)

Introduction - The Firm's System of Quality Management

The Firm's System of Quality Management

7. The purpose of a system of quality management is to support the consistent performance of quality engagements, by providing the firm with reasonable assurance that the objectives of the system, stated in paragraph 21(a) and (b), are achieved. The public interest is served by the consistent performance of quality engagements. Quality engagements are achieved through planning and performing engagements and reporting on them in accordance with professional standards and applicable legal and regulatory requirements. Achieving the objectives of those standards and complying with the requirements of applicable law or regulation involves exercising professional judgment and, when applicable to the nature of the engagement, exercising professional skepticism. (Ref: Para. A2–A4)
8. This ISQM requires professional judgment to be exercised in designing, implementing and operating the firm's system of quality management. A system of quality management is a continual and iterative process and is responsive to changes in the nature and circumstances of the firm and its engagements. It also does not operate in a linear manner. However, for the purposes of this ISQM, a system of quality management addresses the following eight components, which are highly integrated: (Ref: Para. A4)
 - (a) Governance and leadership;
 - (b) The firm's risk assessment process;
 - (c) Relevant ethical requirements;
 - (d) Acceptance and continuance of client relationships and specific engagements;
 - (e) Engagement performance;
 - (f) Resources;
 - (g) Information and communication; and
 - (h) The monitoring and remediation process.

A further description of each of the eight components and their interrelationships is included in Appendix 1.

9. The firm's governance and leadership component establishes the environment in which the system of quality management operates because this component addresses the firm's culture, decision-making process, actions, organizational structure and leadership. This standard requires that the firm's leadership demonstrate a commitment to quality through their actions and behaviors and establish the expected behavior of personnel within the firm.
10. In taking a risk-based approach to quality management, the firm applies the firm's risk assessment process to the other components. The firm's risk assessment process consists of:
 - (a) Establishing quality objectives. The quality objectives established by the firm consist of objectives that when achieved by the firm, collectively provide the firm with reasonable assurance that the objectives of the system of quality management, stated in paragraph 21(a) and (b), are achieved. This ISQM sets out individual quality objectives for each of the components that the firm is required to establish. The firm also is required to establish additional quality objectives beyond those required by this ISQM, when those objectives are necessary to achieve the objective of this ISQM. In addition, the firm may determine that more granular quality objectives than those required by this ISQM are appropriate given the nature and circumstances of the firm and its engagements.
 - (b) Identifying and assessing risks to the achievement of the firm's quality objectives (referred to in this standard as quality risks). The firm is required to identify and assess the quality risks to provide a basis for designing and implementing responses.
 - (c) Designing and implementing responses to address the assessed quality risks. The nature, timing and extent of the firm's responses to address the assessed quality risks will be based on, and responsive to, the reasons for the assessments given to the quality risks. The firm is required to include the responses required by this ISQM, which are organized by component, in its responses to its assessed quality risks. The responses required by this ISQM are relevant to every firm's system of quality management, and are therefore applicable to all firms. However, the responses required by this ISQM alone will not be sufficient to address all of the firm's assessed quality risks for the quality objectives that are required to be established by this ISQM.
- 10A. This ISQM includes components that address subject matter specific topics that are fundamental for the performance of audits or reviews of financial statements, or other assurance or related services engagements (i.e., relevant ethical requirements, acceptance and continuance of client relationships and specific engagements, and engagement performance). In addition, it includes components for resources and information and communication, which are necessary to enable the operation of all the other components of the system of quality management.
11. This ISQM requires the firm to evaluate the design, implementation and operation of its system of quality management through a monitoring and remediation process, which involves:
 - (a) Designing and performing monitoring activities and evaluating the findings from such activities, the results of external inspections and any other relevant information to determine whether deficiencies exist in the system of quality management;
 - (b) Investigating the root cause(s) of the deficiencies and evaluating the severity and pervasiveness of the deficiencies; and
 - (c) Remediating the deficiencies.

The findings arising from the monitoring may also highlight positive practices that the firm may use to enhance its system of quality management. The monitoring and remediation process provides information that is the basis for the evaluation of whether the system of quality management provides reasonable assurance that the objectives stated in paragraph 21(a) and (b) have been achieved.

13. All of the components of the system of quality management operating together enable the consistent performance of quality engagements and contribute to the firm achieving the objective of this ISQM. Accordingly, other pronouncements of the IAASB, such as ISA 220 (Revised),¹ may be premised on the basis that the firm is subject to the ISQMs or to national requirements that are at least as demanding.

¹ Proposed ISA 220 (Revised), paragraph 3

Networks

14. In some circumstances, the firm may belong to a network. This ISQM includes requirements for firms that operate as part of a network, in recognition that networks may establish requirements regarding the firm's system of quality management or may make services or resources available that the firm may choose to implement or use in the design, implementation and operation of its system of quality management. Network requirements or network services are further described in paragraph 59 of this ISQM. Such requirements or services may be intended to promote the consistent performance of quality engagements across the firms that operate as part of the network. Notwithstanding the firm's compliance with the network requirements or use of the network services, the firm remains responsible for its system of quality management.

Service Providers

- 14A. This ISQM also includes requirements for circumstances when the firm intends to obtain or use resources provided by a service provider in its system of quality management.

Definition of Deficiencies

22. In this ISQM, the following terms have the meanings attributed below:
- (a) Deficiency in the firm's system of quality management (referred to as "deficiency" in this ISQM) – This exists when:
 - (i) A quality objective required to achieve the objective of this ISQM is not established;
 - (ii) A quality risk has not been appropriately identified or assessed, such that a response has not been appropriately designed or implemented; or
 - (iii) A response to address a quality risk is not properly designed, implemented or operating effectively. (Ref: Para. A7)

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- A7. A response to address a quality risk is not:
- Properly designed when a response necessary to address a quality risk is absent or a response is not properly designed in a manner that effectively addresses a related quality risk, such that a quality objective may not be achieved. A deficiency in the design of a response may also arise from a quality objective or quality risk not being appropriately specific, given the nature and circumstances of the firm and its engagements.
 - Operating effectively when a response that is properly designed does not operate as designed, which results in the related quality risk not being effectively addressed such that a quality objective may not be achieved.

The Firm's Risk Assessment Process

29. The firm shall establish the quality objectives required by this ISQM. The firm shall also establish additional quality objectives beyond those required by this ISQM, when those objectives are necessary to achieve the objective of this ISQM. (Ref: Para. A46–A50)
30. The firm shall understand the conditions, events, circumstances, actions or inactions that may affect the achievement of its quality objectives, taking into account the nature and circumstances of the firm

and its engagements, to provide the basis for the identification and assessment of the quality risks. (Ref: Para. A46–A47, A51)

31. Based on the understanding obtained in paragraph 30, the firm shall identify those quality risks, before consideration of any responses, that: (Ref: Para. A46–A47, A52–A53)
 - (a) Have a reasonable possibility of occurring; and
 - (b) If they were to occur, may individually or in combination with other quality risks, have a significant effect on the achievement of a quality objective(s). (Ref: Para. A54–A55)
32. The firm shall assess the quality risks identified in paragraph 31 to provide a basis for the design and implementation of the related responses. (Ref: Para. A46–A47, A56)
33. The firm shall design and implement responses to address the assessed quality risks, including the responses required by this ISQM. The design of the responses shall be based on, and responsive to, the reasons for the assessments given to the quality risks. (Ref: Para. A46–A47, A57–A62)

Changes in the Nature and Circumstances of the Firm or its Engagements

34. The firm shall identify changes in the nature and circumstances of the firm or its engagements and modify the quality objectives, quality risks or responses, as appropriate, in response to such changes. (Ref: Para. A46–A47, A63–A64)

Requirement to Communicate Externally

43. In designing and implementing responses to address the quality risks identified by the firm relating to the information and communication quality objectives, the firm shall include the following responses:

...

- (c) Establishing policies or procedures that address the nature, timing and extent of communication and matters to be communicated with external parties, including:
 - (i) Communication to external parties as required by law, regulation or professional standards. (Ref: Para. A144)
 - (ii) Communication with the network. (Ref: Para. A145)
 - (iii) Communication with service providers. (Ref: Para. A146)
 - (iv) Other communication to external parties about the firm's system of quality management, in a transparency report or otherwise, when the firm determines it appropriate to do so, taking into account:
 - a. Whether there are external parties who may use such information to support their understanding of the quality of the engagements performed by the firm.; and (Ref: Para. A147–A155)
 - b. The nature and circumstances of the firm, including the nature of the firm's operating environment.

Requirement to Evaluate and Identify Deficiencies

Evaluating Findings and Identifying Deficiencies

49. The firm shall establish policies or procedures addressing the evaluation of the findings arising from the monitoring activities, the results of external inspections and any other relevant information to determine whether deficiencies exist, including in the monitoring and remediation process. (Ref: Para. A166, A173–A176)

Evaluating Deficiencies

- 49A. The firm shall establish policies or procedures addressing:
- (a) The investigation of the root cause(s) of the deficiencies, including that the nature, timing and extent of the procedures to be performed to investigate the root cause(s) take into account the nature of the deficiencies and their possible severity. (Ref: Para. A177–A182)
 - (b) The evaluation of the severity and pervasiveness of the deficiencies, including the effect of the deficiencies, individually and in aggregate, on the system of quality management as a whole. (Ref: Para. A183)

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Evaluating Findings and Identifying Deficiencies (Ref: Para. 49)

A173. Findings represent the information accumulated from the performance of monitoring activities and may also include the results of external inspections and other relevant information about the firm's system of quality management. Findings may be positive or negative in nature.

Positive Findings

A173A. Positive findings may be useful to the firm as they indicate practices that the firm can support or apply more extensively, for example, across all engagements. They may also highlight opportunities for the firm to enhance the system of quality management. An absence of findings may represent a positive finding.

Negative Findings

A173B. Negative findings are considered by the firm in accordance with paragraph 49 to determine whether there are deficiencies in the system of quality management. Not all negative findings are a deficiency in the system of quality management.

A174. Factors that a firm may consider in determining whether a finding is a deficiency include:

- The nature of the finding, for example, a finding that indicates that personnel have not adhered to the firm's policies or procedures may be indicative of a deficiency in the culture of the firm.
- The design of the monitoring activity from which the finding arose, for example, the firm may consider the tolerable error rate of the activity and whether it was designed to focus on specific areas of risk or the whole population.
- The extent of the monitoring activity from which the finding arose, including the size of sample selected relative to the size of the entire population.
- The extent of the findings in relation to the sample of the population covered by the monitoring activity.

- If the finding relates to a response:
 - o The nature of the quality risk to which the response relates, and the extent to which the finding indicates that the quality risk has not been addressed.
 - o Whether there are other responses that address the same quality risk and whether there are findings for those responses.
- Whether the finding, in combination with other findings, indicate a trend or systemic issue.

A175. A finding may affect multiple responses across different components. For example, a finding that suggests that personnel assigned to an engagement were not knowledgeable about the procedures they performed in the engagement may indicate deficiencies in responses related to human resources (i.e., inappropriate competence and capabilities) as well as those related to engagement performance (i.e., inappropriate direction, supervision and review).

A176. The effectiveness of the monitoring and remediation process may be evaluated through considering the findings arising from the monitoring activities, the results of external inspections and any other relevant information source (e.g., network monitoring activities or complaints and allegations). For example, external inspection findings may indicate deficiencies in the system of quality management that have not been identified by the firm's monitoring and remediation process, which highlight a deficiency in that process.

Requirement to Evaluate Network Requirements or Network Services

60. In complying with the requirements in paragraphs 29–33, the firm shall evaluate:

- (a) The effect of the network requirements or network services on the firm's system of quality management; and (Ref: Para. A198)
- (b) The appropriateness of the network requirements or network services for the firm's system of quality management. (Ref: Para. A199)

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A198. The network requirements or network services may also affect the firm's system of quality management in the following ways:

- The firm may need to identify and assess quality risks for quality objectives provided by the network.
- The firm may need to design and implement responses to address quality risks provided by the network, or the firm may need to assess the quality risks provided by the network.
- The firm may identify additional quality risks arising from responses provided by the network, for example, quality risks may arise from the implementation of a network IT application.

A199. Given the nature and circumstances of the firm and its engagements, in most cases the network requirements or network services may need to be adapted or supplemented by the firm such that they are appropriate for the firm's system of quality management, and therefore may have an effect on the firm's system of quality management. For example:

- The quality objectives provided by the network may not be at a sufficient level of granularity for the firm, or additional quality objectives may need to be established.

- Additional quality risks may exist for the firm that have not been identified by the network.
- The responses provided by the network may not be designed to address the quality risks and the reasons for the assessments given to the quality risks.